

Smart ways to save **TAX**

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| By Babar Zaidi |

Equity-Linked Saving Schemes (ELSS)

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Who wants market-linked returns when the market has more than halved in value in 12 months? But this is exactly why you should give ELSS a chance. "To make money in equities, one has to jump in when there is an overwhelming fear because that's when assets get undervalued due to irrational pessimism," says Ajay Bodke, senior fund manager, equities, IDFC Mutual Fund.

Experts are unanimous that stock prices would revive after some time. "The markets are likely to bottom out in a couple of months. After this, there could be a phase of very low activity and a revival may happen some time during October-December. Therefore, the best time for invest-

ing is between now and April," says Jayesh Shroff, fund manager, equity, SBI Mutual Fund. If you intend to invest in equities in 2009 and still have some tax planning to do, ELSS funds should be your first choice.

Of course, an ELSS is as risky as an equity fund. But the risk is not high if you are a long-term investor who does not get spooked by notional losses. "Fear and greed linked to short-term market movements lead to mistakes. Last year's trend in equity markets should not come in the way of regular, steady investing," says Anup Maheshwari, executive vice-president and head of equities & corporate strategy, DSP BlackRock Investment Managers.



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